



ABHIJEET KUNDU
VICE-PRESIDENT,
ANTIQUA STOCK
BROKING



Unlike earlier, the Nestlé management is now focussed on growing sales aggressively. The recent attempts in new product development and increasing rural reach are a reflection of that ”



K.S. NARAYANAN
FORMER MD, McCAIN
FOODS INDIA



For most millennials, Maggi is the first thing they have cooked in their lives. So, the emotional attachment and the familiarity of the taste of Maggi masalas is unmatched ”

new brand to achieve awareness and advocacy at scale, making it difficult to gain market share. Nestlé, having entered early and creating the market, is not going to be shaken from its perch in a hurry. The demand is relatively inelastic and urbanisation drives organic growth,” says Sen. (Indian laws bar manufacturers from promoting any product, directly or indirectly, that are meant for children aged below 24 months).

Narayanan concurs: “M&N is a value driver for both the company and our consumers. That makes certain volume targets inaccessible to our strategy.” He plans to capitalise on the segment by premiumising the portfolio regardless of volumes. “We do not want to play the volume game here. I cannot succumb to that pressure at the cost of bottom line and margins because that will unravel the whole portfolio. It will jeopardise the company’s motto of maintaining a healthy top line and bottom line.”

Taking a cue from the changing consumer behaviour post the pandemic, Nestlé now plans to expand its portfolio into high-performance products that deliver greater value. “The pandemic has made people realise the importance of health and nutrition. And trust and reliability of established and older brands is only set to grow further,” says Narayanan. To capitalise on this, Nestlé is now gearing up to launch specialised nutrition and high-protein foods for the elderly through its Health Science division. As Indians continue to remain protein deficient, it plans to lure the baby boomers with specialised protein-rich products. At the same time, it would continue to target consumers at the lower end of the pyramid with its smaller and cheaper packs with deeper reach in untapped markets.

Further, transforming Nestlé into a holistic solutions provider from a consumer goods play is where the future lies. “Today, the anxiety [for companies like ours] is, are we changing fast enough?” says Narayanan. The global entity has already launched pilot projects in developed markets, where it extends and augments select product segments for any needs related to the product, in tie-ups with other companies and independent professionals or by building in-house teams that may offer the services. In future, Nestlé’s specialised health portfolio may become a key segment and help boost its revenue in India.

Industry veteran K.S. Narayanan feels that expanding into services may come naturally to Nestlé if it identifies the segments correctly. “Globally, they already have a division, Nestlé Professionals, which services hotels and restaurants not just with products but expertise, too.” To back its plans, the company plans to invest ₹2,600 crore to ramp up its capacities by 2024.

Looks like another transformation is in order. **BT**

@arndutt

96.8 per cent), instant coffee (Nescafé, 51.6 per cent), instant pasta (Maggi, 73.9 per cent), tea creamer (Every-Day, 41.1 per cent), white chocolate & wafers (Milkybar, Munch and KitKat, 67.8 per cent).

IN SPITE OF its new-found aggression and adoption of the volume-led growth strategy, volume offtake continues to falter in its largest product segment—milk & nutrition or M&N. The segment, contributing 43 per cent towards its top line, has only grown thrice (by volume) in the past 10 years, but did show value growth. Experts point towards the pricing power that Nestlé enjoys in such a category where it dominates the market. For instance, in 2021, sales of the M&N segment grew 1.9 per cent even though its volumes fell by 2.7 per cent as it hiked prices by 4.8 per cent. In the previous two years, it effected 9.2 per cent (in 2020) and 7.5 per cent (2019) price hikes, even though volumes remained flat at (-)0.4 per cent and 1.4 per cent, respectively.

Despite headwinds, Nestlé continues to depend heavily on its milk and nutrition portfolio as entry barriers in the infant formula and cereals market works in its favour. “Strict regulations make it very difficult for a